

MODULE 6, CHAPTER 2: MEDICAL EXPENSE REIMBURSEMENT

Basic Hospital Expense Insurance

- **Coverage Focus:** Designed to handle hospital, surgical, and medical expenses when a client is confined.
- **Two Main Benefits:**
 1. Daily room and board charges.
 2. **Miscellaneous Hospital Benefits:** Covers heavy operational costs such as the operating room, anesthetics, x-rays, and drugs.
- **Strict Exclusions:** Non-medical incidentals (like renting a television or phone service in the room) are explicitly excluded. Furthermore, this basic plan **does not pay** the actual doctors' professional fees.

Covering the Doctors

- **Basic Surgical Expense Insurance:** Pays out based on a strict schedule of operations. If a surgery is unlisted, medical experts are consulted to determine a commensurate value.
- **Cosmetic Exception:** Cosmetic surgery for beautification is excluded *unless* it is explicitly necessitated by an accidental injury.
- **Physician's Attendance Benefit:** Provides a daily allowance for care and treatment by a physician during hospital confinement. The maximum payment is calculated by multiplying the daily rate by the number of allowed days.

Key Takeaway: Basic Hospital Expense does NOT pay the surgeon! Your client needs Basic Surgical Expense Insurance to cover the doctor's professional fees, and it will only cover cosmetic alterations if an accident made them medically necessary.